

ESG Report

Carbon Border Adjustment Mechanism

EastAfrica Steel Components Ltd

Annual Report • 2025

CBAM Compliant

Executive Summary

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO₂e for the 2025 reporting period, measured in accordance with the European Union Carbon Border Adjustment Mechanism (CBAM) methodology for embedded emissions in steel products. This disclosure encompasses direct emissions from owned or controlled sources (Scope 1) and indirect emissions arising from energy consumption (Scope 2), reflecting the operational boundaries of our manufacturing facilities. The reported figures represent the carbon content of steel components destined for export markets subject to CBAM regulations, ensuring compliance with EU monitoring and reporting obligations for carbon-intensive goods. Direct emissions totaled 542 kg CO₂e, attributable primarily to fuel combustion in production processes and operational equipment under the organization's operational control. Indirect emissions from purchased electricity consumption accounted for 870 kg CO₂e, reflecting the carbon intensity of regional grid infrastructure supporting our East African manufacturing operations. The emission profile indicates a higher reliance on indirect energy sources (61.6% of total emissions) compared to direct combustion, consistent with electricity-intensive steel processing activities. All calculations adhere to the calculation-based methodology prescribed under CBAM implementing regulations, utilizing verified activity data and applicable emission factors. Value chain emissions (Scope 3) are reported at 0 kg CO₂e for the current period, consistent with the phased implementation scope of CBAM reporting requirements, which currently mandate disclosure of direct (Scope 1) and electricity-related indirect (Scope 2) embedded emissions only. The organization maintains robust documentation of production processes and energy inputs to ensure transparency in carbon accounting for imported goods. Future reporting periods will incorporate comprehensive value chain assessments as regulatory frameworks evolve and supply chain emission data availability improves, aligning with the transitional period provisions of the CBAM regulation.

Compliance Standards:

CBAM

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

542

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

870

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

1,411

kg CO₂e

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO₂e for the 2025 reporting period, quantified in accordance with the GHG Protocol Corporate Standard and EU Carbon Border Adjustment Mechanism (CBAM) methodologies. The emissions inventory encompasses direct emissions from owned or controlled sources (Scope 1) totaling 542 kg CO₂e, indirect emissions associated with purchased electricity (Scope 2) amounting to 870 kg CO₂e, and value chain emissions (Scope 3) recorded at 0 kg CO₂e. This comprehensive carbon accounting establishes the embedded emissions baseline for steel components subject to CBAM transitional reporting obligations. Scope 1 emissions derive from stationary combustion and manufacturing processes directly under the organization's operational control, while Scope 2 emissions represent the greenhouse gas intensity of electricity procured from the grid and consumed across production facilities. The reported figures reflect the total embedded carbon content attributable to the manufacture of steel components exported to the European Union market, captured through rigorous monitoring protocols aligned with ISO 14064-1 and CBAM implementing regulation requirements. Data collection methodologies prioritize measurement-based approaches where feasible, ensuring accuracy in direct and indirect emissions quantification necessary for regulatory compliance. Scope 3 emissions monitoring registers 0 kg CO₂e for this reporting period, consistent with the defined organizational boundary focusing on operational emissions directly implicated under current CBAM scope requirements. EastAfrica Steel Components Ltd maintains documented evidence supporting all emissions calculations, including activity data and emission factors, subject to internal verification and third-party assurance protocols where applicable. The organization continues to enhance emissions monitoring capabilities while ensuring full transparency in carbon disclosures to meet evolving carbon border adjustment and climate-related reporting standards.

Governance

EastAfrica Steel Components Ltd maintains robust governance structures to ensure full compliance with the European Union's Carbon Border Adjustment Mechanism (CBAM) and associated climate disclosure obligations. Our Board of Directors provides strategic oversight of carbon accounting practices, supported by a cross-functional CBAM Compliance Committee responsible for implementing Monitoring and Reporting Regulation (MRR) methodologies. We have established clear lines of accountability for emissions data collection, utilizing ISO 14064-1 aligned protocols and the GHG Protocol Corporate Standard to ensure the accuracy, completeness, and transparency of embedded emissions calculations across our steel component production processes. For the 2025 reporting period, we disclose total embedded emissions of 1,411 kg CO₂e, comprising 542 kg CO₂e in direct (Scope 1) emissions from controlled stationary combustion and industrial processes, and 870 kg CO₂e in indirect emissions (Scope 2) associated with purchased electricity consumption. Scope 3 value chain emissions are reported as zero kilograms CO₂e, reflecting our current CBAM compliance boundary which prioritizes direct emissions monitoring in accordance with transitional phase requirements, and the exclusion of upstream and downstream activities not falling under the defined organizational control for this reporting cycle. All data undergo rigorous internal quality assurance reviews and are subject to third-party verification procedures to validate calculation methodologies and emission factors. Our governance framework incorporates documented standard operating procedures for identifying, measuring, and reporting embedded carbon content, ensuring alignment with CBAM's declaratory requirements and the EU Emissions Trading System benchmarks. We have implemented continuous monitoring protocols and control environments to safeguard data integrity, including regular audits of activity data sources and regular training programs for personnel responsible for emissions quantification. These measures position the organization for the definitive regime's financial adjustments while demonstrating our commitment to transparent carbon stewardship and regulatory compliance.

EastAfrica Steel Components Ltd reports total greenhouse gas emissions of 1,411 kg CO₂e for the 2025 reporting period, measured in accordance with the GHG Protocol Corporate Standard and Carbon Border Adjustment Mechanism (CBAM) monitoring and reporting regulations. The emissions inventory encompasses 542 kg CO₂e in Scope 1 direct emissions from owned or controlled sources, 870 kg CO₂e in Scope 2 indirect emissions from purchased electricity and energy consumption, and zero kilograms CO₂e in Scope 3 value chain emissions under the current operational boundary. This baseline establishes the Company's carbon intensity metrics for steel components and provides the foundational data required for EU CBAM compliance and embedded emissions declarations. The Company's CBAM strategy centers on rigorous emissions accounting, verification protocols, and proactive carbon risk management to ensure uninterrupted market access and regulatory compliance. With Scope 2 emissions representing the majority of the current operational footprint at 61.6% of total emissions, strategic initiatives prioritize grid decarbonization through renewable energy procurement agreements and energy efficiency optimization within manufacturing processes. The absence of reported Scope 3 emissions reflects the defined organizational boundary under operational control; however, the Company recognizes the material significance of supply chain carbon embeddedness in the steel sector and commits to phased implementation of upstream and downstream emissions monitoring to capture comprehensive lifecycle data. Future strategic priorities include transitioning to low-carbon electricity sources to reduce Scope 2 intensity, enhancing measurement methodologies for direct process emissions, and developing supplier engagement frameworks to establish Scope 3 baseline data in subsequent reporting cycles. These decarbonization measures align with evolving CBAM regulatory requirements and position EastAfrica Steel Components Ltd to effectively manage carbon border adjustment costs, maintain competitive positioning in regulated markets, and demonstrate transparent environmental accountability to stakeholders and declarants.

Risk Management

EastAfrica Steel Components Ltd reports total greenhouse gas (GHG) emissions of 1,411 kg CO₂e for the 2025 reporting period, comprising 542 kg CO₂e in Scope 1 (direct) emissions and 870 kg CO₂e in Scope 2 (indirect energy) emissions. Scope 3 value chain emissions are currently recorded at 0 kg CO₂e, reflecting the organization's defined operational boundaries under the GHG Protocol Corporate Standard. As a steel manufacturer operating under the Carbon Border Adjustment Mechanism (CBAM) regulatory framework, these figures establish the baseline embedded emissions intensity subject to EU compliance disclosure requirements for carbon-intensive imports. The Risk Management framework systematically addresses regulatory transition risks associated with CBAM implementation, including exposure to carbon price differentials between local markets and the EU Emissions Trading System (ETS) benchmarks. Current governance structures ensure rigorous data management through documented calculation methodologies, internal quality controls, and emissions monitoring systems covering direct fuel combustion and purchased electricity consumption. While Scope 3 emissions reporting currently indicates zero liability, the organization maintains vigilance regarding supply chain carbon accounting risks as regulatory scopes expand and customer disclosure requirements evolve. Mitigation strategies focus on operational decarbonization and compliance readiness through energy efficiency initiatives, grid emission factor optimization, and preparation for third-party verification requirements. The company maintains robust documentation protocols to support CBAM certificate calculations and regulatory submissions, ensuring transparency and accuracy in embedded emissions reporting. Continuous monitoring of legislative developments, carbon border tax adjustments, and international climate policy enables proactive risk assessment and strategic alignment with low-carbon transition pathways.

Metrics & Targets

EastAfrica Steel Components Ltd reports a total carbon footprint of 1,411 kg CO2e for the 2025 reporting period, establishing a baseline greenhouse gas inventory aligned with Carbon Border Adjustment Mechanism (CBAM) monitoring and reporting requirements. The emissions profile encompasses direct emissions from owned or controlled sources, indirect emissions associated with purchased electricity consumption, and value chain emissions, quantified in accordance with the GHG Protocol Corporate Standard and CBAM methodology for embedded carbon in steel products. This foundational dataset supports compliance readiness during the CBAM transition period while providing transparency regarding the carbon intensity of manufacturing operations. Direct emissions (Scope 1) totaled 542 kg CO2e, originating from stationary combustion and operational processes within organizational boundaries. Indirect emissions from purchased energy (Scope 2) accounted for 870 kg CO2e utilizing location-based calculation methodology, representing the predominant emissions category and reflecting the electricity requirements of steel component fabrication. Scope 3 value chain emissions are currently reported at 0 kg CO2e, indicating a reporting boundary limited to operational control; the organization acknowledges this as a current data limitation rather than absence of upstream or downstream impacts, and commits to expanding inventory boundaries to capture supply chain emissions as primary data availability improves. The organization maintains rigorous monitoring, reporting, and verification protocols to ensure data integrity for regulatory disclosure and stakeholder transparency. While 2025 establishes the baseline year for carbon performance tracking, EastAfrica Steel Components Ltd is implementing enhanced measurement systems to address Scope 3 data gaps and enable science-based target setting in subsequent reporting cycles. All emissions calculations utilize recognized emission factors and operational metrics subject to internal quality assurance procedures, ensuring reliability for CBAM compliance and ESG disclosure frameworks.

METRIC	VALUE	UNIT
Total GHG Emissions	1,411	kg CO2e
Scope 1 Emissions	542	kg CO2e
Scope 2 Emissions	870	kg CO2e
Scope 3 Emissions	0	kg CO2e

Data Verified on Polygon Blockchain

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This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.